

Leadership in Organization

Module for

BS Entrepreneurship

1st Sem 2025-2026



AN OVERVIEW OF HUMAN BEHAVIOR IN ORGANIZATIONS

Learning Objectives:

Introduction

For so long, man made serious attempts to be productive, economic or otherwise. He did it either individually or in group. In his quest for fulfilling his dreams, he is always confronted with the risk of failure, and the risk is most often associated with the human factor, i.e., him and the others. Even if it was a machine that disrupted the production process, the person who decided to buy or use the machine faces the risk of placing his character under suspicion.

It has become clear that the quality and quantity of the output of the individual, the group, or the organization depend heavily on the actions of the person. It follows that those who have knowledge of human behavior are better equipped to interact with individuals, groups, or organizations.

WHAT IS HUMAN BEHAVIOR

Human behavior refers to the physical actions of a person that can be seen or heard such as smiling or whistling. with his thoughts, feelings, emotions, and sentiments, the person exhibits behaviors similar or different when he is in or out of organizations.

Human behavior in organizations is more appropriately referred to as organizational behavior (OB).

WHAT IS ORGANIZATIONAL BEHAVIOR

Organizational behavior or OB may be defined as the study of human behavior in organization, of the interaction between individuals and the organization, and of the organization itself.

The Goals of OB

The three goals of OB are as follows:

1. Explain behavior
2. To predict behavior; and
3. To control behavior.

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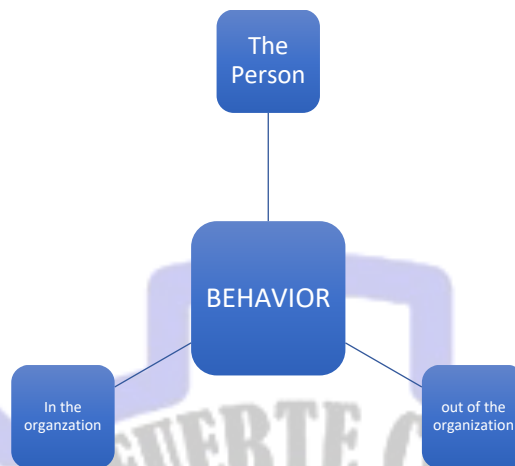


Figure 1
The places where the person exhibits his behavior

In explaining behavior as a goal, OB needs to systematically describe how people behave under a variety of conditions, and understand why people behave as they do.

OB must be used to predict behavior so support can be provided to productive and dedicated employees, and measures could be instituted to control the disruptive and less productive ones.

OB can offer some means for management to control the effective performance, the usefulness of OB must not be overlooked.

The Elements of OB

Four elements operate in OB. They are:

1. people
2. structure
3. technology
4. environment

The internal social system of the organization is composed of people consisting of individual persons and groups. The individual person is inducted as a member of a formal group, but soon, he or she may become a member of an informal group.

The structure defines the formal relationship of people in the organization. It describes how job tasks are formally divided, grouped and coordinated.

Technology refers to the combination of resources, knowledge and techniques with which people work and affect the task that they perform. It consists of buildings, machines, work processes, and assembled resources.

Environment refers to institutions or forces outside the organization that potentially affect the organization's performance. It includes suppliers, customers, competitors, government regulatory agencies, public pressure groups, and the like.

THE BENEFITS OF STUDYING ORGANIZATIONAL BEHAVIOR (OB)

The study of OB offers certain benefits. They are as follows:

1. development of people skills;
2. personal growth;
3. enhancement of organizational and individual effectiveness and
4. sharpening and refinement of common sense.

Development of People Skills

There are two types of skills that a person will need to succeed in his chosen career:

1. the skill in doing his work; and
2. the skill in relating with people.

A person who is much adept in the performance of his work may be successful up to a certain extent, but he will require another skill to make other people believe that he should be more successful than his current achievement.

An example is the dentist who is well-trained in his discipline but is avoided by many would-be patients. It is not surprising to see a number of dentists with insufficient number of patients. Many of these dentists would benefit from acquiring people skills through the study of OB.

Another example is the group of highly productive employees who complain that they are always bypassed in promotions. Studying OB may help them find answers to their queries.

Personal Growth

Personal growth makes a person highly competitive in the workplace. The chance to achieve personal growth is enhanced by knowledge of OB. For instance, knowledge of the behavior of others through the study of OB will help the person understand his own behavior. A person who strives to know himself better is entering the realm of intrapersonal intelligence, which is a very useful type of intelligence for one who wants to achieve his personal goals.

Intrapersonal thinking may be described briefly as one possessed by a person with highly accurate understanding of himself or herself.

Enhancement of Organizational and Individual Effectiveness

Effectiveness is a major attribute of successful organizations, as well as individuals. When the right decisions are made, effectiveness follows. In decision making, knowledge of OB can be very useful.

For instance, there are persons who perform better when they work in the afternoons. It would be a mistake to make them work in the morning and expect that they will perform better. Such errors could be avoided if the one authorized to decide on work assignments have knowledge of OB.

Sharpening and Refinement of Common Sense

People differ in the degree of common sense they possess. Improvements in this type of ability, however, can still be made and great benefits can be derived if this is done.

For instance, common sense dictates that persons working in hot and humid places cannot perform well. Common sense, however cannot easily provide information on the exact temperature that will make them work at optimum levels. In those types of concerns knowledge of OB may be very useful.

A BRIEF HISTORY OF ORGANIZATIONAL BEHAVIOR (OB)

History tells us that behind every major accomplishment of man is some sort of organization. Thousands of years ago, the pyramids of Egypt and the temples in Central and South America were built by workers recruited from among the populace. Whether or not there were attempts to make these types of workers perform better can be the subject of inquiry. What we see in the movies is the whip, which as we understand was designed to make the workers do their assigned tasks.

It is modern history, however, that provide us with records of how concerned scientists and experts made studies which have direct or indirect bearing to OB.

The origins of OB can be traced to the following:

1. the human relations approach
 - a. the scientific management approach by Frederick W. Taylor
 - b. the human relations approach by Elton Mayo and others.
2. the personality theories
 - a. Freud's model
 - b. the behaviorist approach by Watson and Skinner
 - c. the humanist approach by Carl Rogers, Fritz Perls, and Abraham Maslow.

Frederick W. Taylor was the well-known disciple of the scientific management movement. The primary purpose of scientific management was the application of scientific methods to increase the individual worker's productivity. Taylor used scientific analysis and experiment to increase worker output. He did it by regarding individuals as equivalents of machine parts and assigned them specific repetitive tasks.

Elton Mayo and his research team conducted the Hawthorne studies in 1920 to determine what effect hours of work, periods of rests and lighting might have on worker fatigue and productivity. It was discovered that the social environment have an equivalent if not greater effect on productivity than the physical environment. Mayo concluded that social interaction is a factor for increased productivity.

Another group of researchers espoused the personality theories and made significant contributions to the development of OB.

A great contributor is the psychologist Sigmund Freud who brought the idea that people are motivated by far more than conscious logical reasoning. Freud believed that irrational motives make up the hidden subconscious mind, which determines the major part of people's behavior.

Through an approach called behaviorism, another eminent psychologist, J.B. Watson, formulated the theory about learned behavior. This theory indicates that a person can be trained to behave according to the wish of the trainer.

B.F. Skinner extended Watson's theory with his own theory of behavior modification. Skinner concluded that when people receive a positive stimulus like money or praise for what they have done, they will tend to repeat their behavior. When they are ignored and receive no response to the action, they will not be inclined to repeat it.

The humanist movement is another important aspect in the development of OB. It is composed of a group of psychologists and three prominent contributors – Carl Rogers, Fritz Perls, and Abraham Maslow.

Rogers focused on the person as an individual instead of adhering to a rigid methodology. He believes that people should acquire their own values and attitudes rather than be committed to a fixed set of prescribed goals. The more self-directed and aware people are, the better they are able to develop their own individual values and adapt to a changing environment.

Fritz Perls' contribution is the Gestalt psychology wherein the person is seen as being plagued by numerous splits, or conflicting desires and needs, which dissipate energy and interfere with that person's ability to achieve his potential. The object of Gestalt psychology is to integrate conflicting needs into an organized whole, in which all parts of a person work together towards growth and development.

For his part, Abraham Maslow forwarded his model which espouses the idea of developing the personality toward the ultimate development, achievement of human potential. This process is referred to as self-actualization. To achieve this objective, the person must work his way up the succeeding steps of a hierarchy of needs.

ETHICS AND ORGANIZATIONAL BEHAVIOR

May an organization use whatever means, fair or foul, to achieve its objectives? Is it alright for a firm to ask its employee to obtain confidential information through espionage regarding the operations of a competitor? Is it right for a business firm to adopt a policy of hiring only those who are members of a certain religious sect? Is it right for organizations to allow executives to play favorites in the workplace? These and similar behaviors in the organization happen every now and then. Should the propriety of such behaviors be the concern of organizations?

If allowing such actions become the norm rather than the exception, would it be to the best interest of everyone especially employers and employees? Answers to the foregoing questions permeate a body of principles that modern man tries to consider in the pursuit of his goals.

Philosophers maintain the view that a society that has low regard for morals will disintegrate after a period of time. To avoid chaos and destruction, and to make life in society possible, adherence to the practice of moral principles regulating human relations become necessary.

The above concerns bring us to the topic of organizational ethics.

What is Ethics

Ethics refers to the set of moral choices a person makes based on what he or she ought to do.

Organizational Ethics. These are moral principles that define right or wrong behavior in organizations.

Ethical Behavior. This refers to behavior that is accepted as morally "good" and "right" as opposed to "bad" and "wrong"?

What constitutes right and wrong behavior in organization is determined by:

1. the public
2. interest groups
3. organizations
4. the individual's personal morals and values

Ethical Issues

There are important ethical issues that confront organizations. They consist of the following:

1. conflict of interest
2. fairness and honesty
3. communication
4. relationships within the organization

A conflict of interest exists when a person is in the position of having to decide whether to advance the interests of the organization or to operate in his or her own personal interests. For instance, the purchasing officer of a university is in a situation where there is conflict of interest when he owns the shop that sells office supplies to the university.

In organizations which practices ethical behavior, people do not accept bribes to influence the outcome of a decision.

People in organizations are expected to be fair and honest. Ethical behavior demands that, beyond obeying the law, they should not knowingly harm customers, clients, and competitors through deception, coercion or misrepresentation. For example, a certain agency of the government would not normally release documents unless a certain amount of money is handed down to the releasing clerk.

People can become victims of organizations that provide false and misleading information about their products and services for instance, a recruitment firm makes it appear that the employment conditions they describe to the job applicants would be identical to what the foreign employer would offer. This practice is, of course, highly unethical

Within the organization, people may still be performing unethical acts. For example, employee A developed an idea that will be very useful to the organization. Employee B steals the idea and presents it to the top executive before employee A could present it himself. This action is highly unethical and it is to the detriment of the organization if such actions are allowed to flourish.

Summary

People exhibit certain behavior in and out of organizations. The realization of individual, group, or organizational goals will depend on the human factor specifically human behavior.

The goals of OB are to explain, predict, and control behavior.

The elements of OB are people, structure, technology, and environment.

The benefits of studying OB are: (1) the development of people skills; (2) personal growth; (3) enhancement of organizational and individual effectiveness; and (4) sharpening and refinement of common sense.

OB is not an instant invention of man. Instead, it is a product of several stages of inquiry into how people behave and how they can be managed to be more productive. Personalities, great and small, contributed to the development of OB. Taylor, Mayo, Freud, Maslow, are only some of the more prominent names in the field of OB. The development of OB has not stopped, however, and the process is still ongoing.

If the organization is expected to survive, its actions must be in consonance with ethical behavior.

Assessment

Answer the following questions in a separate sheet of paper. Submit to your teacher via google classroom email or messenger.

File name should be [Surname/Activity 1/Leadership in Organization]

ex. **Dela Cruz Activity 1 Leadership in Organization**

1. What is human behavior? Organizational behavior
2. Why is the prediction of behavior important Goal of OB?
3. How are important the internal and external environment of a person in developing or predicting his behavior?

References

Human Behavior in Organization, Roberto Medina, Ph.D.

"Winners *never* quit, and *quitters never* win."